Equity Investment

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Macroeconomic and political headwinds are whipping themselves into a storm: rising interest rates; a partial recession; bond markets defanging growth-oriented policies; and hefty inflation are being felt in every area of the economy. And the UK's startups and scaleups are no exception — as our latest data makes clear.

In some ways, this is to be expected. COVID-19 accelerated new investment (levered with cheap debt) into consumer-focused, software-enabled growth plays. Recession threatens their user growth, and rising interest rates — causing some equity investors to exit the market — threaten their runway.

But early-stage investing is meant to involve heavy losses, particularly in the Silicon Valley model. The UK's failure rate has always been slightly lower, but losses are still part of the game.

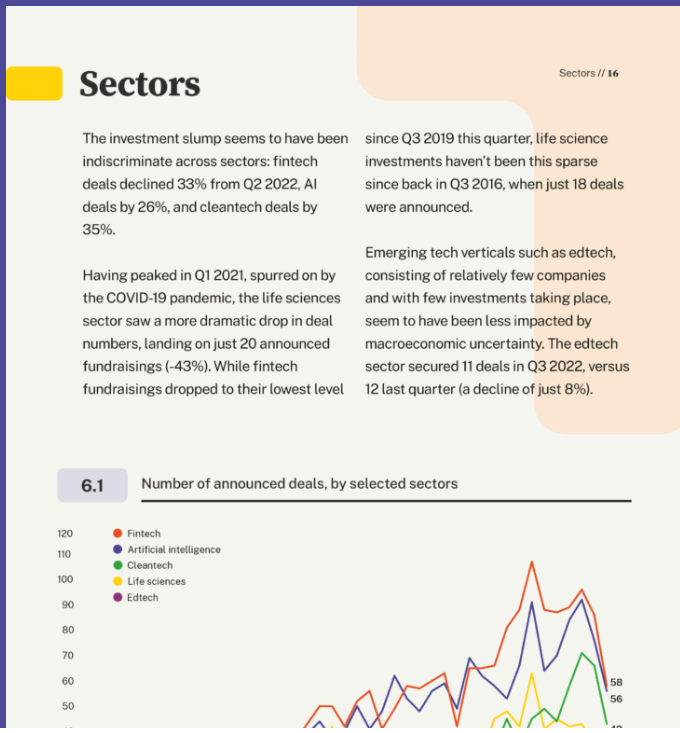
Some investment over the past 24 months has been frothy — it couldn't last. But some of this asset class (more classic venture capital) is meant to be countercyclical. Investing in an early-stage, high-risk technology requires a time horizon that can defy macro uncertainties.

So venture investors need to be optimists: the current

£2.76b	-52%	-57%
invested	since Q2 2022	since Q3 2021

What did we find out about the UK equity market this time around?

- Investment activity declined during the quarter, with £2.76b invested into the UK's private companies, across 518 rounds
- Deal volume and amount raised decreased at every stage of evolution, alongside a significant drop in first-time fundraisings
- Around one in two deals went to companies headquartered in London, accounting for 57% of all pounds deployed
- Megadeals hit their lowest levels in two years, with just eight investments worth £50m+
- Crowdfunding fared better than other investment types, with deal volume dropping just 7%, compared to 32% for venture capital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Sectors

The investment slump seems to have been indiscriminate across sectors: fintech deals declined 33% from Q2 2022, AI deals by 26%, and cleantech deals by 35%.

Having peaked in Q1 2021, spurred on by the COVID-19 pandemic, the life sciences sector saw a more dramatic drop in deal numbers, landing on just 20 announced fundraisings (-43%). While fintech fundraisings dropped to their lowest level since Q3 2019 this quarter, life science investments haven't been this sparse since back in Q3 2016, when just 18 deals were announced.

Emerging tech verticals such as edtech, consisting of relatively few companies and with few investments taking place, seem to have been less impacted by macroeconomic uncertainty. The edtech sector secured 11 deals in Q3 2022, versus 12 last quarter (a decline of just 8%).

6.1 Number of announced deals, by selected sectors

LUCY WILSON

Lucy leads on Beauhurst's content creation. She produces expert analysis for our data-driven articles and reports, with a particular interest in cleantech and impact investing. Lucy holds a BA in Politics, History, and Economics from Durham University.

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